encourages a certain kind of winner, one who is adapted to the jungle rather than the world we want to live in. In contrast, healthy competition needs the helping hand of the government; to ensure the playing field is level, that entry barriers are low, that there are reasonable rules of the game and clear enforcement of contracts, and that all participants have the basic capabilities such as education and skills to compete.

Governments have historically found it difficult to ensure such healthy competition because intervention has to be just right. Governments typically are tempted to go beyond intervening to create a fair competitive environment, and instead have turned to determining winners and losers themselves. This typically has not worked out well. With this caveat, the creation of a healthier, more competitive environment in India could be the government's most important contribution to sustainable economic growth in India over the medium term. And the Competition Commission will be a central player in this endeavour. Whether in questioning existing government monopolies or the excessive market power of private players, you will be a key institution in the years to come. And for the sake of our country, I wish you the very best of success.

Today, I want to focus on the coming competitive environment in the banking sector. At the Reserve Bank of India, we have spent a few months thinking about how we see that shaping up, and I want to share that vision with you. My intent here is to further the debate rather than to announce any final decisions.

## THE GRAND BARGAINS

The degree of competition in the banking sector in India is best seen as the product of two grand bargains. The first was between successive governments and the banks, whereby banks got privileged access to low-cost demand and time deposits, to the central bank's liquidity